BLINKIT: LIFE AFTER TEN MINUTES

What should the market leader promise next—and what will it cost to deliver?

AIMA–ICRC India Case League 2026 | Strategic management

A new team, an old promise

On 20 October 2026, a newly inducted strategy team at Eternal was preparing its first substantive review for Albinder Singh Dhindsa. Dhindsa, the founder of Blinkit, had become group chief executive officer of Eternal on 1 February, succeeding Deepinder Goyal in the top executive role. His appointment put the man who had helped build India's best-known quick-commerce brand in charge of a listed group whose growth prospects were increasingly tied to that business. [1]

There was much to celebrate. Blinkit had ended June 2026 with 2,443 stores. Its net order value (NOV)—the value of customer orders after specified adjustments—had reached ₹17,132 crore in the April–June quarter, 86% above the year-earlier level. For a second consecutive quarter, the business had reported positive adjusted earnings before interest, tax, depreciation and amortisation (EBITDA). Yet the April–June profit was only ₹102 crore, equal to 0.6% of NOV. The distance from that modest margin to management's longer-term ambition of 5–6% was still considerable. [2][3]

Nine months earlier, the advertising that made the category famous had changed abruptly. Following discussions with the Union Labour Ministry amid concerns about gig-worker safety, Blinkit removed the explicit "10-minute delivery" claim from its branding in January 2026. The business could still deliver rapidly through a dense network of neighbourhood fulfilment stores, but it could no longer rely on the same advertised stopwatch as its defining promise. [4]

By October, a second issue threatened to redefine the meaning of trust. A Reuters investigation published on 17 October reported that Maharashtra food-safety officials had named individuals associated with Eternal businesses, including Dhindsa, in a probe concerning the handling of expired or rejected food products. The account described regulatory allegations and reported that relevant companies had not immediately responded to requests for comment. No finding of guilt was established by that report. Nonetheless, the allegations brought a difficult question to the foreground: if Blinkit would be asking households to entrust it with more of their daily purchases, could its controls over stock, suppliers, disposal and delivery scale as quickly as its network? [5]

Instructions for Students /Participating Teams
*The case and its accompanying exhibits are provided exclusively for the **AIMA–ICRC India Case League 2026**. Students and participating teams shall use the information solely for preparing their competition presentations, developing recommendations, and participating in case discussions and evaluations.*

***Strict adherence to the data and information provided in the case and its exhibits is mandatory.** Teams must base their analyses, arguments and recommendations exclusively on the information supplied in the case materials. **No external data, updated figures, subsequent developments, additional information or modifications to the provided data will be accepted** during case presentations or discussions.*

For the strategy team, a conventional marketing presentation would be insufficient. It had to advise Dhindsa on how Blinkit should be positioned for the next 24 months, how much operational and partner investment the promise would require, and whether the proposed economics could survive competition from well-capitalised rivals. A memorable slogan would be the least expensive part of the decision.

From convenience to a habit

The appeal of quick commerce was simple: consumers could order everyday essentials from a mobile phone instead of planning a trip to a neighbourhood shop. Unlike conventional e-commerce, the system placed inventory close to demand. A small fulfilment centre—widely called a dark store—served a compact catchment area, allowing pickers and delivery partners to complete orders rapidly. Speed was designed into store density, available assortment, picking systems and dispatch, not merely the final journey on a two-wheeler. [4][6]

The model nonetheless depended on relationships that a shopping app alone did not reveal. Consumers wanted products in stock, prices they could understand and deliveries that arrived as expected. Brand partners wanted access to transactions and product visibility. Delivery partners needed earnings, predictable work opportunities and safety. Store teams had to receive, rotate, pick and dispatch goods without compromising quality. Each additional product category increased both the appeal of the app and the burden on its operating system.

Blinkit's expansion meant that these questions were no longer confined to grocery staples. Larger assortments extended the occasion for which customers might open the app. Personal-care items, electronics, gifting and premium groceries could raise basket value and enable more frequent purchases, but also increased inventory variety, working-capital requirements, returns risk and the need for accurate product information. Meanwhile, large incumbents and new entrants—including Swiggy Instamart, Zepto, Flipkart Minutes and Amazon Now—were competing for orders. The original case briefing portrayed this market as a contest over stores, promotions and price. Public disclosures, however, did not provide a single consistently defined, independently audited market-share series that could rank all operators on a like-for-like basis; the team would have to avoid false precision in that comparison. [6][7]

A different balance sheet behind every order

A fundamental change to Blinkit's model made its recent financial performance harder to interpret at first glance. The business had shifted towards owning inventory rather than relying principally on third-party sellers who owned stock. Eternal disclosed that roughly 80% of quick-commerce NOV came from its own-inventory model in the September 2025 quarter. As that transition proceeded, goods sold through Blinkit increasingly appeared in the company's reported revenue. Revenue growth could therefore partly reflect a change in accounting presentation, not just a corresponding jump in demand. [8]

For assessing consumer activity, Eternal emphasised NOV. For assessing operating profitability, it reported adjusted EBITDA and adjusted EBITDA as a proportion of NOV. These figures should not be confused with net profit or cash flow: inventory purchases, capital expenditure, depreciation, financing costs and working-capital movements remained important to the economics of expansion. An inventory-owning retailer had more control over procurement and assortment, but it also bore greater responsibility for the stock on its shelves. [2][3][9]

Blinkit's progression was striking. In April–June 2025, the business generated NOV of ₹9,203 crore but lost ₹162 crore in adjusted EBITDA. By January–March 2026, it reported a ₹37-crore adjusted EBITDA profit. By April–June 2026, that

profit reached ₹102 crore while NOV was ₹17,132 crore. The store base reached 2,443 at the end of June, after 200 net new stores were added during the quarter. In its shareholder communication, Eternal said the business was continuing to prioritise assortment and supply-chain capability over simply buying growth through discounts. [2][3][10]

On a static basis, an additional one percentage point of adjusted EBITDA margin on ₹17,132 crore of quarterly NOV would represent about ₹171 crore. That calculation exposed both the opportunity and the problem. Improvements that appeared small as percentages could matter considerably in rupees. Conversely, higher delivery-partner costs, spoilage, loss prevention, promotional expenditure or new-store ramp-up costs could absorb much of an otherwise attractive margin gain. The computation was arithmetic, not a forecast; future order volumes, costs and NOV composition would change.

When the stopwatch became controversial

Quick commerce had been sold as relief from waiting. Delivery workers and their representatives saw the other side of the bargain. In late December 2025, worker protests drew attention to pay transparency, safety and the pressure that highly visible short delivery times might create. Platforms argued that delivery speeds were principally achieved through nearby dark stores and logistics design rather than by encouraging riders to take risks. The distinction mattered operationally, but it did not remove concern about what a promise might signal to the public or to workers. [4][11]

In January 2026, after engagement with the Labour Ministry, Blinkit stopped advertising an explicit 10-minute delivery guarantee. Reporting at the time emphasised that the intervention concerned the claim and not a statutory prohibition of fast delivery itself. The change therefore presented a strategic opportunity as well as a constraint. Could Blinkit redefine convenience as dependable availability, transparent prices and confidence in the products delivered? Would customers recognise such a proposition as valuable enough to choose Blinkit when rival apps also delivered quickly? Or would a less distinctive promise make switching easier and promotions more important? [4]

The labour question also had a financial dimension. India's Code on Social Security, 2020 came into force with the wider labour-code reform in November 2025. Government material describes legal recognition of gig and platform workers and a framework for aggregator contributions of 1–2% of annual turnover, subject to a ceiling linked to amounts paid or payable to those workers. The detailed operational application, notified rates and basis relevant to any particular platform required legal assessment rather than treating the statutory range as an immediate 2% levy on Blinkit's NOV. [12]

A stronger delivery-partner model could improve service consistency and retention, while increasing training, insurance and welfare expenditure. Its value could not be judged solely by a direct cost-per-order calculation if it also reduced failed deliveries, cancellations, recruitment churn or reputational risk. But neither could every welfare initiative be assumed to pay for itself. The team would have to specify the economic logic behind its recommendations.

Trust reaches the shelf, the screen and the supplier

The platform's next challenge extended beyond the rider. A store-based retail operation needed documented controls for product acceptance, shelf-life monitoring, temperature-sensitive categories, returns and disposal. On 17 October 2026, Reuters reported allegations from Maharashtra authorities that some expired or customer-

rejected food had been diverted through third-party disposal channels and re-entered parts of the market. The report included references to Eternal units and the suspension of licences of two Eternal establishments among five affected facilities. The allegations and investigative actions were not proof that Blinkit had knowingly sold expired goods. For a management case, their significance was the exposure of possible weak links in the chain of custody beyond the front door of a dark store. [5]

A quality assurance programme could require electronic batch tracking, first-expiry-first-out picking, supplier audits, evidence of product destruction, independent inspections and rapid recall capability. Such safeguards might be invisible to consumers until something went wrong. A brand promise built on "trust" would be especially vulnerable if the company's underlying controls did not support it. Equally, turning compliance into a visible competitive advantage could require investment and the discipline to close or temporarily restrict facilities that failed internal standards.

Trust was also tested on the checkout screen. The Central Consumer Protection Authority's 2023 guidelines identified 13 kinds of dark patterns, including drip pricing and basket sneaking. In June 2025 the CCPA urged e-commerce firms to self-audit their interfaces and remove deceptive practices. These rules did not establish a Blinkit violation in the case record, but they placed limits on how any quick-commerce operator could present delivery fees, memberships, urgency claims and promotional offers. A "fair price" proposition would have to be reflected in the actual experience of paying for an order. [13]

Finally, a platform holding delivery addresses, purchase histories and location information faced growing data-governance responsibilities under India's Digital Personal Data Protection framework. Rules notified in November 2025 provided a phased implementation pathway. Personalisation and advertising could help monetise traffic, but that strategy would depend on compliant data practices as obligations came into force. The team could not treat consumer trust as a marketing outcome separate from its technology and control systems. [14]

The next growth phase

Scale was a competitive advantage but not a substitute for a strategy. Blinkit could use denser networks and higher order frequency to spread operating costs; it could widen assortment and pursue larger baskets; it could seek more value from suppliers and advertisers; or it could pursue a visibly differentiated service experience. Each route involved a trade-off. Denser networks increased fixed commitments before stores matured. Wider categories created complexity. A premium customer promise might disappoint price-sensitive households. Lower fees could improve retention while reducing immediate revenue. Aggressive store-level efficiency targets might conflict with worker welfare or inspection discipline.

The pressure was real even as Blinkit moved into adjusted operating profit. Reuters reported in July 2026 that management had not committed to a timetable for reaching its long-term 5–6% adjusted EBITDA margin ambition. Growth was increasingly associated with customers ordering more frequently rather than merely spending substantially more on each order. The question therefore was not whether quick commerce could grow, but which sources of profitable repeat demand Blinkit should cultivate. [3]

The case also raised a governance question: should responsibility for the customer promise sit predominantly with marketing and growth, or be owned jointly by operations, merchandising, product, finance, safety and partner welfare? After assuming responsibility for Eternal, Dhindsa would need decisions that could be monitored regularly by the board rather than aspirations that appeared persuasive only in a brand campaign.

The recommendation to Dhindsa

The newly inducted strategy team had been asked to present a 24-month recommendation to Dhindsa. The timing made the assignment uncomfortable. The 10-minute slogan had already been retired; competitors could imitate products and promotions; margins were improving but thin; and questions about partner welfare and stock safety were attracting greater public scrutiny. At the same time, scaling back expansion might invite rivals to capture demand while quick-commerce habits were still forming.

A credible recommendation would have to choose what Blinkit should stand for, identify what it should stop doing to finance that choice, and make explicit the sequence in which it would invest. The board would expect a route from 0.6% adjusted EBITDA margin toward sustainable operating profitability, not a promise that all customer, worker and shareholder demands could be maximised simultaneously. It would also expect clear accountability for truthful claims and product safety, together with measurable indicators of whether consumer loyalty was becoming more durable or simply more expensive to buy.

As the team prepared its first report, the core question remained unresolved: was Blinkit's next competitive advantage to be faster convenience, more dependable convenience, a trusted everyday retailer—or something entirely different? And which version of that advantage could be delivered consistently, lawfully and profitably at national scale?

Annexures

Exhibits include sourced facts and clearly marked calculations. Figures are not interchangeable across NOV, revenue, company-level profit and group results. No fabricated customer survey, rider-earnings series or market-share estimates are included.

Annexure A. Blinkit operating progression, selected reported quarters

Metric / period	Q1 FY26 (Apr–Jun 2025)	Q4 FY26 (Jan–Mar 2026)	Q1 FY27 (Apr–Jun 2026)
Net order value (₹ crore)	9,203	Not shown here	17,132
Adjusted EBITDA (₹ crore)	(162)	37	102
Adjusted EBITDA / NOV	(1.8%)	Positive; ~0.3% reported	0.6%
Dark stores at quarter-end	Not reproduced*	2,243	2,443
Net new stores during quarter	243	216	200
Blinkit reported revenue (₹ crore)	Not comparable without accounting context	—	15,664

Sources: Eternal Q1 FY26 letter, 21 July 2025 [10]; Q4 FY26 letter, 28 April 2026 [9]; Q1 FY27 letter, 22 July 2026 [2]; and Reuters, 22 July 2026 [3]. Parentheses denote negative values. The Q1 FY26 store-end estimate is deliberately omitted because the uploaded draft derived it by subtracting an annual net change from a later total rather than quoting a quarter-end disclosure. Q1 FY27 "revenue" reflects the inventory-led accounting approach and must not be equated with NOV.

Annexure B. What 0.6% profitability means at June-quarter scale

Measure	Value	Interpretation
Q1 FY27 Blinkit NOV	₹17,132 crore	Actual company-reported quarter
Q1 FY27 adjusted EBITDA	₹102 crore	Actual; ~0.6% of NOV
Illustrative adjusted EBITDA at 1% NOV margin	₹171.3 crore	Calculation; not a forecast
Illustrative adjusted EBITDA at 3% NOV margin	₹514.0 crore	Calculation; not a forecast
Illustrative adjusted EBITDA at 5% NOV margin	₹856.6 crore	Calculation; not a forecast
Illustrative adjusted EBITDA at 6% NOV margin	₹1,027.9 crore	Calculation; not a forecast
Value of one percentage point of NOV margin	₹171.3 crore	Static sensitivity; NOV held constant

Source: Eternal Q1 FY27 results [2]; 5–6% long-term margin ambition reported by Reuters [3]. Calculations: NOV × assumed margin; excludes changes to NOV, inventory funding, capex, taxes and financing costs. These are transparent arithmetic sensitivities, NOT management forecasts.

Annexure C. Inventory model and comparative reporting definitions

Concept	Verified fact / definition	Case relevance
Inventory ownership	Eternal disclosed ~80% of quick-commerce NOV on own-inventory basis in Q2 FY26 [8].	More procurement control and exposure to inventory risk.
NOV	Management-reported net order value for transactions.	Better demand indicator across the accounting-model transition.
Reported segment revenue	Blinkit Q1 FY27 revenue ₹15,664 crore [15].	Cannot be treated as pure organic order growth.
Adjusted EBITDA	₹102 crore in Q1 FY27 [2].	Operating profitability indicator; not net income or cash flow.
Dark-store count	2,443 at 30 June 2026 [2][3].	Store density improves proximity but requires investment.

Sources: Eternal Q2 FY26 update [8]; Eternal Q1 FY27 disclosures and results coverage [2][15]; Reuters [3]. Where "better" is used, it means better for the stated comparison, not a claim that NOV alone captures economic value.

Annexure D. Competitor and market developments: verified directional evidence

Organisation	Verified development	Limit on comparison
Blinkit / Eternal	Added 200 net stores in Q1 FY27; 2,443 quarter-end [2][3].	Blinkit data are company reported.
Swiggy Instamart	Reuters reported in August 2026 that Swiggy was moving toward an inventory-led quick-commerce model [7].	Disclosure definitions and margin measures may differ.
Flipkart Minutes	Industry reporting documented accelerated dark-store expansion during 2026 [16].	Independent store counts and maturity vary by report date.
Amazon Now	Industry reporting documented active expansion in 2026 [16].	Its public financial economics are not disclosed comparably.
Zepto	A major price and convenience competitor in 2026 [4][7].	Private-company metrics are not audited on a common basis.

Sources: Eternal and Reuters [2][3][7], Financial Express [16]. No consolidated "market-share" pie chart is shown because identical denominators, time periods and verified measures for all rivals were unavailable.

Annexure E. Regulatory and trust framework as at 20 October 2026

Area	Verified public development	Why the strategy team cannot ignore it
Advertising claims	Blinkit removed explicit 10-minute messaging following Labour Ministry discussions in January 2026 [4].	Claims must be supportable; this was an intervention on marketing, not a law making quick delivery illegal.
Gig / platform workers	Social Security Code effective November 2025; contribution framework of 1–2% turnover subject to statutory cap [12].	Verify notified operational rates and assessment basis before modelling cash costs.

Area	Verified public development	Why the strategy team cannot ignore it
Food safety	Maharashtra FDA investigation and licence actions reported 17 October 2026 [5].	Investigations and allegations are not findings of culpability; require traceability and controls.
Online consumer choice	CCPA's 2023 dark-pattern rules and 2025 self-audit advisory [13].	Fees, memberships and claims should avoid deceptive design.
Personal data	DPDP Rules notified November 2025; phased implementation [14].	Customer and partner-data decisions carry legal compliance requirements.
FDI / inventory model	Blinkit shifted towards inventory ownership after a change in parent ownership status [8][17].	Future structuring must remain consistent with applicable investment rules.

Sources: Reuters [4][5]; PIB / Ministry of Labour and Employment [12]; PIB / CCPA [13]; MeitY [14]; Eternal [8]; contemporary reporting [17]. This is a strategic overview, not a legal opinion or a determination of liability.

Annexure F. Sequence of publicly reported milestones

When	Milestone	Source
Jul 2025	Blinkit Q1 FY26 NOV ₹9,203 crore; adjusted EBITDA loss ₹162 crore	[10]
Oct 2025	Eternal reported ~80% of quick-commerce NOV from own inventory in Q2 FY26	[8]
Nov 2025	Four Indian labour codes brought into effect	[12]
Jan 2026	Blinkit drops explicit 10-minute claim after labour-ministry intervention	[4]
1 Feb 2026	Albinder Dhindsa's Eternal Group CEO appointment effective	[1]
Apr 2026	Blinkit Q4 FY26 adjusted EBITDA turns positive at ₹37 crore	[9]
22 Jul 2026	Blinkit Q1 FY27 adjusted EBITDA ₹102 crore; quarter-end stores 2,443	[2][3]
17 Oct 2026	Reuters reports Maharashtra FDA investigation involving Eternal entities	[5]

All events are within the decision-date horizon. No outcome after 20 October 2026 is used to resolve the case.

Source register and verification notes

The following numbered documents are the evidentiary basis of the case; links are provided for organiser fact-checking and later updating. Figures are attributed to Eternal when taken from management-defined metrics. Newspaper accounts are identified as reporting rather than primary adjudications.

[1] Eternal Limited, stock-exchange disclosure of 21 January 2026, appointment effective 1 February 2026 — https://bsmedia.business-standard.com/_media/bs/data/announcements/bse/21012026/694d8987-41e7-45a1-a15a-0cc2e8295c0a.pdf

[2] Eternal Limited, Q1 FY27 shareholder letter/results, 22 July 2026 — https://www.eternal.com/blog/q1fy27/

[3] Reuters, "India's Eternal sees Blinkit profitability at high end of outlook…", 22 July 2026 — https://www.reuters.com/business/indias-eternal-misses-quarterly-profit-estimates-competition-weighs-margins-2026-07-22/

[4] Reuters, quick-commerce branding intervention, 13–14 January 2026 — https://www.reuters.com/sustainability/society-equity/india-reins-booming-quick-commerce-sector-over-10-minute-delivery-claim-2026-01-13/

[5] Reuters, Maharashtra FDA expired-food investigation, 17 October 2026 (updated 19 October) — https://www.reuters.com/legal/litigation/indian-state-food-safety-authority-names-blinkit-reliance-executives-expired-2026-10-17/

[6] Reuters, account of competitive quick-commerce expansion, 2026 — https://www.reuters.com/world/india/indias-swiggy-bets-instamart-model-shift-mirroring-main-rival-blinkit-eyes-2026-08-20/

[7] Reuters, Swiggy / Instamart proposed inventory-led shift, 20 August 2026 — https://www.reuters.com/world/india/indias-swiggy-bets-instamart-model-shift-mirroring-main-rival-blinkit-eyes-2026-08-20/

[8] Eternal Limited, Q2 FY26 shareholder letter, 16 October 2025 — https://www.eternal.com/blog/q2fy26-dbaadd03/

[9] Eternal Limited, Q4 FY26 shareholder letter, 28 April 2026 — https://www.eternal.com/blog/q4fy26/

[10] Eternal Limited, Q1 FY26 shareholder letter, 21 July 2025 — https://www.eternal.com/blog/q1fy26/

[11] Reuters, reporting on gig workers and time-guarantee claims, January 2026 — https://www.reuters.com/world/india/indias-swiggy-changes-10-minute-delivery-claim-after-government-order-2026-01-14/

[12] Press Information Bureau / Labour Ministry, gig-worker social-security framework, 9 December 2025 — https://www.pib.gov.in/PressReleasePage.aspx?PRID=2200767&lang=1&reg=6

[13] Press Information Bureau / Consumer Affairs, dark-pattern guidelines and self-audit advisory, 22 July 2025 — https://www.pib.gov.in/Pressreleaseshare.aspx?PRID=2146813&lang=2&reg=48

[14] MeitY, Digital Personal Data Protection Rules, 2025: official document index — https://www.meity.gov.in/documents/act-and-policies/digital-personal-data-protection-rules-2025-gDOxUjMtQWa?pageTitle=Digit

[15] Geojit, compilation of Eternal Q1 FY27 segment disclosures, 22 July 2026 — https://www.geojit.com/equity-detail/eternal-ltd/68117

[16] Financial Express, "Flipkart pulls ahead of Amazon in quick commerce", September 2026 — https://www.financialexpress.com/business/news/flipkart-pulls-ahead-of-amazon-in-quick-commerce/4333074/

[17] Economic Times, Blinkit inventory model transition report, July 2025 — https://economictimes.indiatimes.com/tech/technology/blinkit-plans-transition-to-inventory-led-model-from-september-1-pings-sellers-to-switch/articleshow/122417795.cms

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